

TIME CHANGES INVESTMENT PRIORITIES

Your investment policy and portfolio asset allocation will be unique. It will be based on your situation, your needs today and in the future, and your ability to stay the course during adverse market conditions. As your needs change, your allocation will also need adjustment. Monitoring and adjusting is an important part of the process.

The Limitations of Questionnaires

One shortcut to an asset allocation decision is a “risk questionnaire” that brokers and advisors like to use. Wall Street has tried very hard to commoditize the asset allocation process so that it can push through a lot of people in little time. Risk questionnaires are the by-product of this push. How you answer the questions will land your portfolio in a preselected box of investments.

Risk questionnaires may yield some useful information if the questions are worded well, but overall they are not the answer to the asset allocation question. The questions typically address only one specific area: the maximum risk a person might be able to handle. Even this question cannot possibly be determined by a computer model alone. The questionnaire approach probably works better on young investors who have a lot more in common with one other than people in their fifties and sixties. These more established investors need a lot more attention in order to create a plan that reflects their unique situation.

Finding a person’s maximum tolerance for risk takes a lot more than a questionnaire. It requires soul-searching. We tend to be brave in a bull market, and this means that it is not the ideal time to search for our risk tolerance. Soul-searching should be done in a bear market when we are not sure what is going to happen next.

Our Changing Needs

As your financial needs change, your attitude toward investing changes, and accordingly, the asset allocation of your portfolio will need to be adjusted to accommodate changes in your life. The following paragraphs touch on some of those issues and adjustments that occur during life. In this second edition you will find several passages that cover these topics in more detail.